

shows best support at 27.50. If the stock closes below 26.50, then sell it (a 10% loss). Otherwise, collect the dividend.”

The notebook entry confirms that I knew about the stock breaking through support, but thought of round number 30 as support).

On 15 July (H), I threw in the towel and sold the stock. “This stock has tumbled along with the market below the stop price, so I sold, filled at 25.81, well below the mental stop price of 26.50. *Ouch*. The refining industry is in the dumps and the market is taking everything down. Even its dividend couldn't support it.”

A mental stop is one kept in your head. In situations like a day trade where you need to get in and out fast, mental stops are invaluable. In cases like this trade, not having it in place can mean selling below the exit target.

- Lesson: Use a hard stop (a stop-loss order placed with your broker) instead of a mental stop unless speed is needed.

The lessons in this trade cost me 14%.

Notice the October low at K. That was the bottom for the stock. From there, it climbed all the way up to 95.96, a gain of 436%. I had the right idea about this trade, but my timing was off by about 6 months.

Sample Trade

Since I trade from the long side, let me give you an example of how to use a double top defensively. Say you own the stock in [Figure 30.7](#). How do you trade this one? Do you hold on like an amateur investor, or do you dump at the first sign of weakness, like a swing trader?